

Indian Oil Corporation

IOC

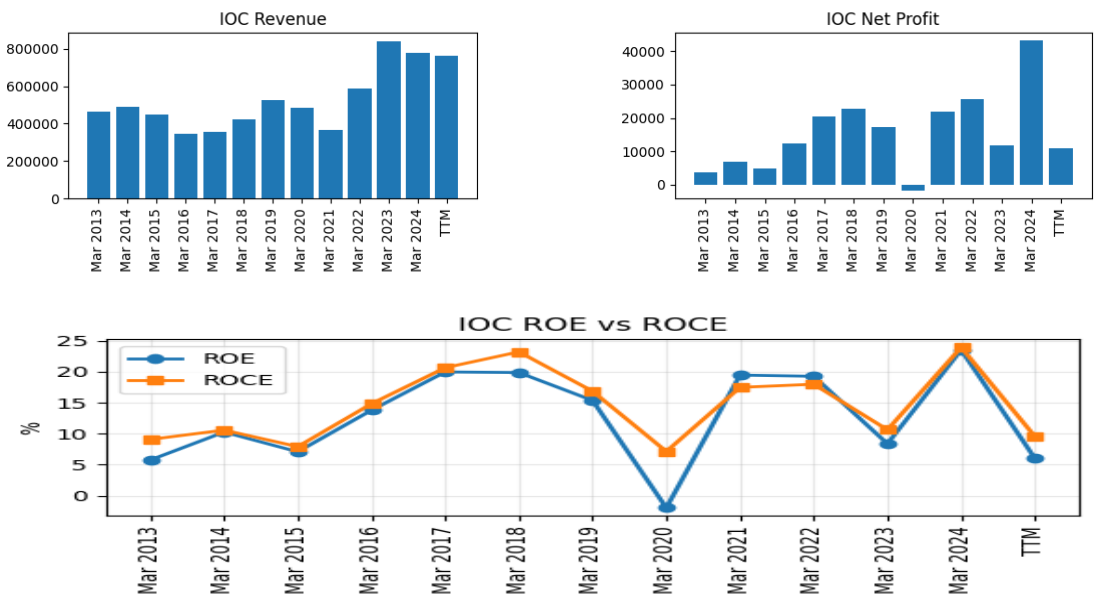
Key Financial Metrics

ROE 6.01%	ROCE 9.55%	Debt / Equity 0.90
Revenue CAGR 4.84%	FCF Conversion 164.73%	Quality Score 55.17

Company Profile

Company	Indian Oil Corporation
Sector	Energy
Industry	Oil & Gas Refining
Market Cap (■ Cr)	1,418,164.33
P/E Ratio	28.61
P/B Ratio	4.24
Dividend Yield	1.25%

Financial Performance



AI Investment Summary

Indian Oil Corporation demonstrates average financial performance with a few areas requiring monitoring. It currently has moderate profitability, average capital efficiency, limited revenue growth, high quality cash-flow quality and manageable leverage. The overall financial quality score is 55.2/100. Key strengths include: Profits are compounding faster than revenue, indicating improving operating leverage and scalability.; Strong free cash flow generation over 5 years signals healthy business fundamentals.; Net profit compounding at above 20% over 5 years creates significant shareholder value.. Key risks include: Return on capital employed below 10% indicates weak capital efficiency.; Weak operating margins suggest limited pricing power and lower cash generation.; Low revenue growth may indicate a lack of business momentum.. Investment recommendation: Hold. Overall, the company appears to be financially average and requires monitoring.

Pros & Cons

Pros	Cons
• Profits are compounding faster than revenue, indicating improving operating leverage and scalability. • Strong free cash flow generation over 5 years signals healthy business fundamentals. • Net profit compounding at above 20% over 5 years creates significant shareholder value.	• Return on capital employed below 10% indicates weak capital efficiency. • Weak operating margins suggest limited pricing power and lower cash generation. • Low revenue growth may indicate a lack of business momentum.

Investment Recommendation

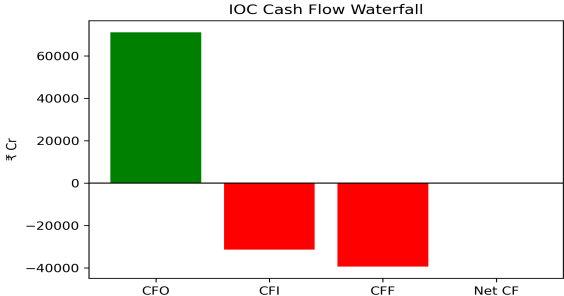
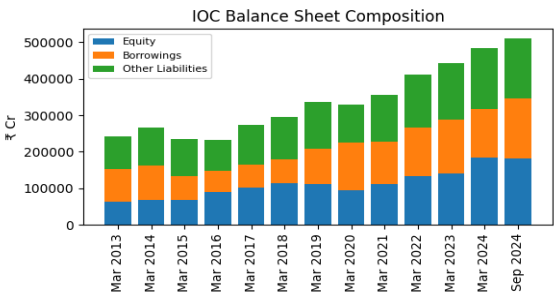
Recommendation	HOLD
Risk Level	MODERATE
Confidence	MEDIUM

Recommendation Reason:

The recommendation is based on an adjusted financial score of 55.2/100, supported by 3 identified strengths, 3 identified risks, and cash-flow quality rated as High Quality.

Adjusted Score: 55.2

Balance Sheet & Cash Flow



Financial Health

Profitability	Weak
Growth	Weak

Cash Flow	Strong
Leverage	Moderate
Valuation	Fair

Capital Allocation

Reinvestor